ASE Technology Holding Co Ltd

Stronger GM uptick, growth trajectory backed by rising capex; introduce Dec-27 PT of NT$900

Overweight

3711.TW, 3711 TT
Price (29 Oct 26):NT$683.00
▲**Price Target (Dec-27):NT$900.00**
Prior (Jun-27):NT$700.00

ASE delivered strong GMs in 3Q26, with 4Q26 and 2027 guidance implying continued GM improvement over the next few quarters (with mid-30% ATM GMs now likely in the next 2 years), supported by rising LEAP mix, improving margins in LEAP and strong like-for-like price increases in mainstream packaging. Growth in LEAP continues to accelerate ($4bn new target in 2026, with 2x growth in 2027 guided), with demand far outstripping supply. Stronger capex outlook for 2026 and 2027 bodes well for continued growth beyond 2027, in our view. ASE's LEAP growth is now more diverse, with strong growth in on-Substrate (oS), testing, emerging growth in Full-process and incremental revenues from CPO/Optical Engine assembly (more than $0.5bn revenue in 2027). We lift our FY26/27/28E EPS estimates by 6%/12%/16% and introduce a Dec-27 PT of NT$900.

- **ATM Gross margins the real surprise, likely to reach mid-30% in 2027:** ASE's 3Q26 ATM GMs surpassed the ceiling of its prior structural margin range (24-30%), reflecting higher LEAP contribution and better pricing. The management also highlighted that 30% is now likely to be the base level for future ATM GMs, with continued sequential growth through 4Q26 and FY27. We believe the GM acceleration is underpinned by rising LEAP mix (JPMe 35%/43% of the ATM revenue in 2027/28), improving margins within LEAP (all LEAP components are margin accretive when at full scale) and double-digit price hikes in mainstream packaging. We thus expect ASE's ATM GMs to reach 34%/35% in 2027/28.
- **LEAP growth upsized again in 2026, current 2027 guide looks conservative:** ASE raised its 2026 LEAP guidance to $4bn (vs. prior $3.7bn) for the third time, and expects it to double in 2027 (implying at least $8bn). We believe this is quite conservative (we believe 4Q26 alone could already reach $1.5bn), and expect further upward revisions in the next few quarters, as capacity ramp for Full-process CoWoS and on-Substrate becomes clearer. We now expect LEAP to reach US$4.2bn/8.7bn/13.4bn in 2026/27/28E, with growth across all LEAP segments.
- **Strong growth in on-Substrate and testing, fast ramp for Full-process and CPO packaging into 2027:** We believe the strong LEAP growth in 2027 is mainly driven by oS and testing (mostly wafer probe), with Full-process and CPO ramping rapidly in 2H27, with higher growth into 2028 once capacity is ready. For Full-process, ASE expects US$300mn revenue in 2026, rising to over US$1bn in 2027, which appears somewhat conservative to us (JPMe US $1.6bn/3.3bn of Full-process revenue in 2027/28E), given strong demand from a key customer and potential for more wafer capacity addition. We expect AMD Venice to remain the main project in 2027, with ASE likely only able to fulfill ~50% of AMD's demand, given clean room capacity constraints and longer lead-time for capacity ramp. Beyond AMD Venice CPU, we believe the company is also engaging with multiple clients for its CoWoS-like solutions, where NVDA Vera CPU and AWS Trainium are likely the next potential adopters. On CPO, ASE highlighted that it's targeting more than US$0.5bn revenue in 2027 (CPO revenue is included in LEAP), where mass production has already kicked off in 4Q26. We believe ASE (through SPIL) is already

Technology and Telecoms

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT$)	20.43	21.65	6.0%
Adj. EPS - 27E (NT$)	31.83	35.72	12.2%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT$)

	2025A	2026E	2027E
Q1	1.49	3.35A	6.85
Q2	1.88	4.91A	8.23
Q3	2.63	6.23A	9.88
Q4	3.49	7.15	10.76
FY	9.49	21.65	35.72

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	68	58	38	13	21
Growth	56	53	73	72	57
Momentum	22	23	57	45	25
Quality	56	51	71	46	68
Low Vol	64	59	60	42	52
ESGQ	5	17	100	18	15

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 12 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	172.6%	-0.6%	36.9%	209.0%
Rel	112.5%	2.1%	21.1%	145.2%

Company Data

Shares O/S (mn)	4,415
52-week range (NT$)	765.00-204.50
Market cap ($ mn)	93,008
Exchange rate	32.42
Free float (%)	79.1%
3M ADV (mn)	18.47
3M ADV ($ mn)	359.0
Volatility (90 Day)	67
Index	TAIEX
BBG ANR (Buy | Hold | Sell)	25|1|0

Key Metrics (FYE Dec)

NT$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	645,388	871,316	1,102,706	1,315,697
Adj. EBIT	52,101	115,298	207,904	267,079
Adj. EBITDA	115,708	202,143	349,414	459,196
Adj. net income	41,988	96,482	159,353	204,114
Adj. EPS	9.49	21.65	35.72	45.76
BBG EPS	8.74	19.30	29.70	39.06
Cashflow from operations	108,824	173,187	285,030	384,077
FCFF	(63,366)	(200,413)	(140,129)	(42,082)
Margins and Growth				
Revenue Growth Y/Y (%)	8.4%	35.0%	26.6%	19.3%
EBIT margin	8.1%	13.2%	18.9%	20.3%
EBIT Growth Y/Y (%)	19.2%	121.3%	80.3%	28.5%
EBITDA margin	17.9%	23.2%	31.7%	34.9%
EBITDA Growth Y/Y (%)	16.1%	74.7%	72.9%	31.4%
Net margin	6.5%	11.1%	14.5%	15.5%
Adj. EPS growth	13.1%	128.0%	65.0%	28.1%
Ratios				
Adj. tax rate	18.0%	16.9%	18.5%	18.6%
Interest cover	20.6	26.5	29.9	29.4
Net debt/Equity	0.4	0.6	0.8	0.9
Net debt/EBITDA	1.3	1.5	1.4	1.4
ROE	12.5%	24.1%	31.5%	33.1%
Valuation				
FCFF yield	(2.1%)	(6.6%)	(4.6%)	(1.4%)
Dividend yield	0.8%	1.0%	1.7%	2.8%
EV/Revenue	5.0	3.8	3.2	2.8
EV/EBITDA	27.6	16.6	10.1	8.0
Adj. P/E	71.9	31.6	19.1	14.9

Summary Investment Thesis and Valuation

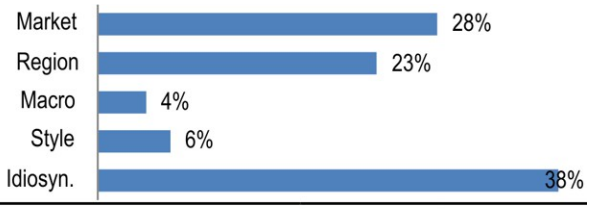
Investment Thesis

We stay OW on ASE, due to the strong demand for advanced packaging, improving GM trajectory, and expanding capex. ASE's LEAP growth is now more diverse, with strong growth in on-Substrate, Testing, emerging growth in Full-process and incremental revenues from CPO/Optical Engine assembly. On margins, we expect continued ATM GM improvement over the next few quarters (with mid-30% GMs now likely in the next 2 years), supported by rising LEAP mix, improving margins in LEAP and strong like-for-like price increases in mainstream packaging. Moreover, the stronger capex outlook for 2026 and 2027 bodes well for continued growth beyond 2027, in our view.

Valuation

Our Dec-27 PT of NT$900 is based on ~20x 12M forward EPS, a premium to OSAT peers due to a more positive LEAP outlook and faster GM improvement.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.63	0.54
Region: Taiwan	0.63	0.59
Macro:		
Citi Economic Surprise - EM	-0.14	0.15
JPM Forecast Revision EM	-0.29	-0.15
US 10 Year Yield	-0.27	-0.11
Quant Styles:		
Quality	-0.29	-0.24
Value	-0.32	-0.23
DivYld	-0.32	-0.20

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

engaged in the Optical Engine packaging and Insertion Test 3 layer for NVDA's current CPO projects (Spectrum X 6 CPO) and remains the primary partner for TSMC COUPE back-end packaging solutions. This bodes well for strong growth in CPO into 2028, as more CPO projects start ramping up.

- **Pricing environment remains favorable in mainstream packaging; we expect stronger price hikes in 2027:** While CE end demand remains lackluster, we believe the pricing environment for mainstream packaging remains favorable for ASE, given: 1) overall capacity squeezed out by AI, creating imbalanced supply/demand; 2) continued strength in AI-peripheral demand (e.g. power management, connectivity, storage, etc.); 3) partial support from the auto and industrial recovery; and 4) ASE's CE exposure skewed toward the high end, where demand is relatively stable. These factors enable ASE's mainstream business to run at nearly full utilization. We therefore expect an even stronger price hike in 2027 (vs. mid-to-high single digit price hikes in 2H26), further supporting continued growth in mainstream (or non-LEAP) revenues (we expect 20% YoY in 2027).
- **Capex upside in 2026/27 bodes well for longer-term growth, with 22 new facilities under ramp:** ASE revised up its 2026 capex again by $1bn, to US$11.5bn, with 50% dedicated to facilities and 50% to equipment (mostly for packaging, of which 60% is for LEAP). In addition, management indicated that 2027 capex should be higher still versus 2026. With 22 new facilities currently under development, we believe that revenue growth run rate is likely to inflect upwards from 2H27, with continued growth into 2028. We now expect ASE capex to reach ~$13bn in 2027 and believe the strong capex trajectory signals strong confidence in growth beyond 2027.

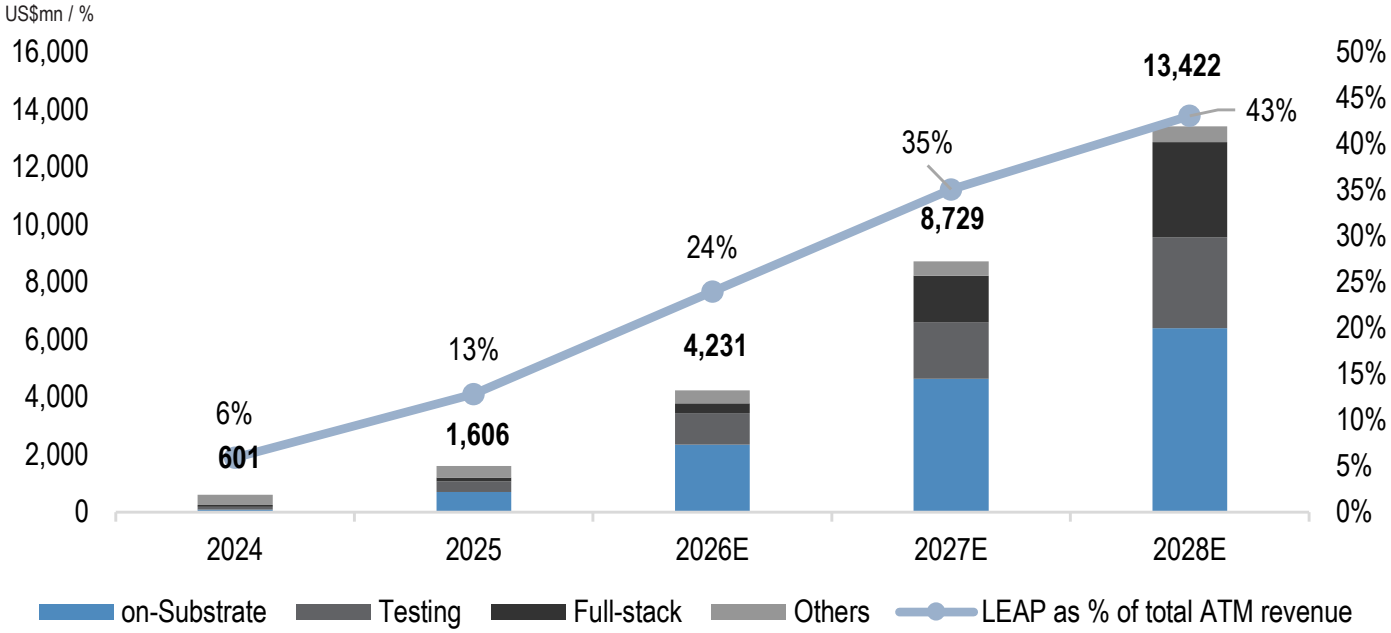
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Table 1: ASE LEAP key assumptions

US$mn / %	2024	2025	2026E	2027E	2028E
Total LEAP revenue	**601**	**1,606**	**4,231**	**8,729**	**13,422**
Revenue from oS outsourcing	81	697	2356	4640	6400
% of CoWoS outsourced	*8%*	*46%*	*80%*	*90%*	*95%*
Revenue from testing	100	369	1,096	1,972	3,173
YoY		*269%*	*197%*	*80%*	*61%*
Revenue from Full-stack CoWoS	70	140	330	1,617	3,300
Other revenues	350	400	450	500	550

Note: updated oS assumptions to reflect broader CoWoS coverage and higher consigned substrate ratio.
Source: J.P. Morgan estimates, Company data.

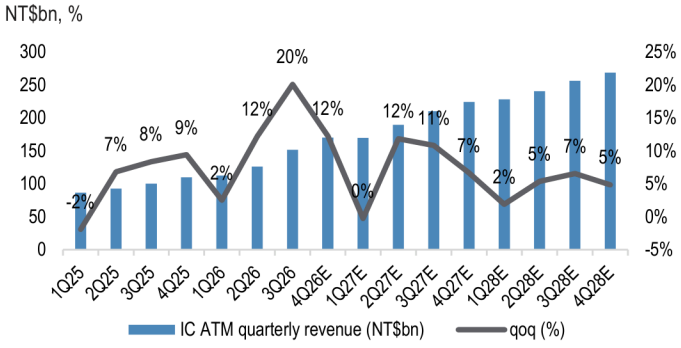
Figure 1: ASE LEAP revenue breakdown and as % of ATM revenue



Source: J.P. Morgan estimates, Company data.

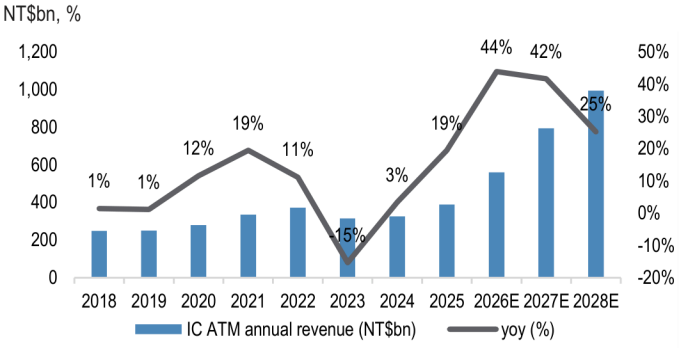
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Figure 2: ASE IC ATM quarterly revenue and QoQ trend



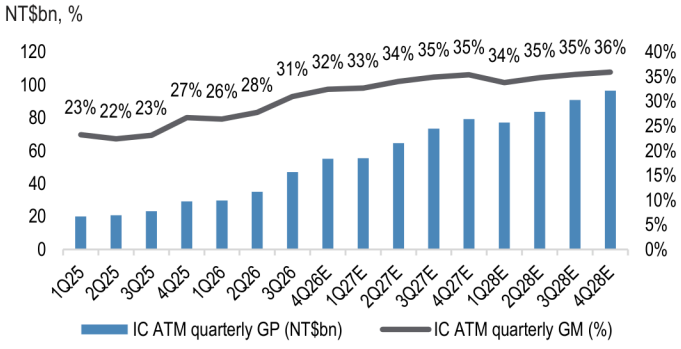
Source: J.P. Morgan estimates, Company data.

Figure 3: ASE IC ATM annual revenue and YoY trend



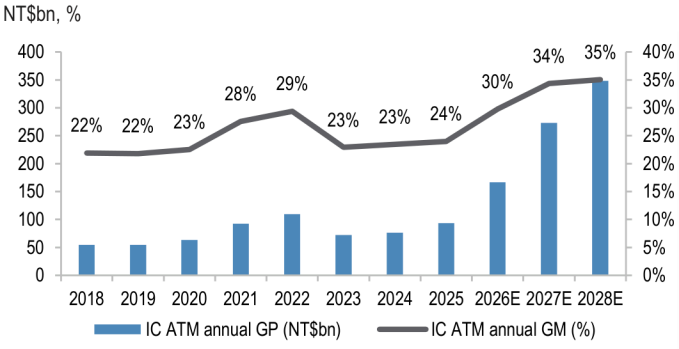
Source: J.P. Morgan estimates, Company data.

Figure 4: ASE IC ATM quarterly gross profit and GM trend (non-GAAP)



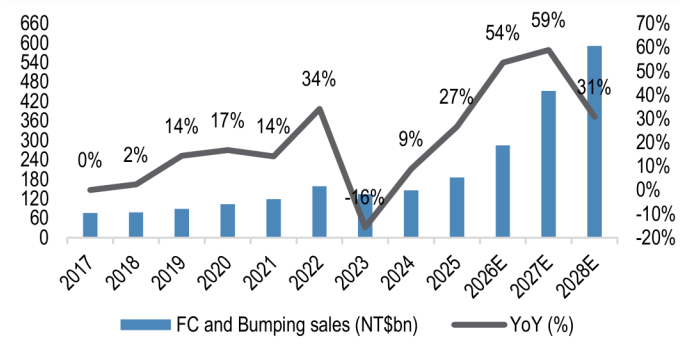
Source: J.P. Morgan estimates, Company data.

Figure 5: ASE IC ATM annual gross profit and GM trend (non-GAAP)



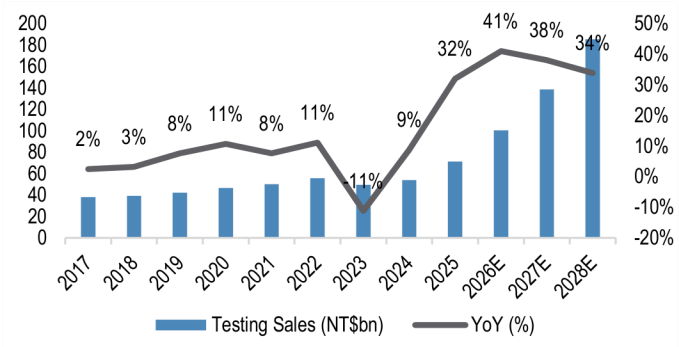
Source: J.P. Morgan estimates, Company data.

Figure 6: ASE advanced packaging and YoY growth



Source: J.P. Morgan estimates, Company data.

Figure 7: ASE testing and YoY growth



Source: J.P. Morgan estimates, Company data.

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Earnings review

Table 2: ASE - 3Q26 earnings review

NT$ in millions, EPS in NT$, %

	3Q26			Variance		Growth	
NT$ million	Actual	JPMe	BBG est.	vs. JPMe	vs. Consensus	Q/Q	Y/Y
Revenues	**244,161**	**233,141**	**233,390**	**5%**	**5%**	**28%**	**45%**
Gross profit	53,967	49,315	49,633	9%	9%	35%	87%
GM (%)	*22.1%*	*21.2%*	*21.3%*	*95 bps*	*84 bps*	*111 bps*	*497 bps*
Operating profit	33,142	29,264	28,553	13%	16%	57%	151%
OPM (%)	*13.6%*	*12.6%*	*12.2%*	*102 bps*	*134 bps*	*253 bps*	*574 bps*
Net profit	26,996	23,590	25,527	14%	6%	28%	148%
EPS (NT$)	**6.07**	**5.30**	**5.42**	**14%**	**12%**	**29%**	**147%**
Non-GAAP metrics							
Non-GAAP GP	54,488	50,015	N.A.	9%	N.A.	34%	85%
Non-GAAP GM (%)	*22.3%*	*21.5%*	*N.A.*	*86 bps*	*N.A.*	*103 bps*	*488 bps*
Non-GAAP OP	33,934	30,218	N.A.	12%	N.A.	55%	143%
Non-GAAP OPM (%)	*13.9%*	*13.0%*	*N.A.*	*94 bps*	*N.A.*	*242 bps*	*561 bps*
Non-GAAP NP	27,763	24,543	N.A.	13%	N.A.	27%	138%
Non-GAAP EPS	**6.24**	**5.52**	**N.A.**	**13%**	**N.A.**	**27%**	**137%**
IC ATM Revenue	151,485	141,988	N.A.	7%	N.A.	71%	64%
IC ATM Non-GAAP GM (%)	*30.6%*	*29.0%*	*N.A.*	*163 bps*	*N.A.*	*659 bps*	*837 bps*

Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

4Q26 guidance

- FX: US$1 = NT$31.9 (vs. NT$31.9 in 2Q26)
- Holding in NT$ - revenue to grow 6-8% QoQ
- Holding GM: between 23%-24%
- Holding OPM: between 14.5%-15.5%
- ATM in NT$ - revenue to grow by 11-13% QoQ
- ATM GM: should increase by 100 to 200 basis points QoQ
- EMS in NT$ - revenue should be flattish QoQ
- EMS OPM: around 2%

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Estimate revisions

Table 3: Quarterly estimate revisions

NT$ in millions, EPS in NT$, %

	Revised			Prior			Change (%)		
NT$ million	4Q26E	1Q27E	2Q27E	4Q26E	1Q27E	2Q27E	4Q26E	1Q27E	2Q27E
Revenues	**262,429**	**239,268**	**261,203**	**241,025**	**216,869**	**243,625**	**9%**	**10%**	**7%**
Gross profit	62,486	60,767	70,146	55,990	50,185	61,013	12%	21%	15%
GM (%)	*23.8%*	*25.4%*	*26.9%*	*23.2%*	*23.1%*	*25.0%*	*58bps*	*226bps*	*181bps*
Operating profit	40,180	39,473	47,682	35,744	31,318	40,061	12%	26%	19%
OPM (%)	*15.3%*	*16.5%*	*18.3%*	*14.8%*	*14.4%*	*16.4%*	*48bps*	*206bps*	*181bps*
Net profit	30,952	29,623	35,742	28,555	24,653	31,400	8%	20%	14%
EPS (NT$)	**6.94**	**6.64**	**8.01**	**6.42**	**5.54**	**7.06**	**8%**	**20%**	**13%**
Non-GAAP metrics									
Non-GAAP GP	63,186	61,467	70,846	56,690	50,885	61,713	11%	21%	15%
Non-GAAP GM (%)	*24.1%*	*25.7%*	*27.1%*	*23.5%*	*23.5%*	*25.3%*	*56bps*	*223bps*	*179bps*
Non-GAAP OP	41,133	40,426	48,636	36,697	32,271	41,014	12%	25%	19%
Non-GAAP OPM (%)	*15.7%*	*16.9%*	*18.6%*	*15.2%*	*14.9%*	*16.8%*	*45bps*	*202bps*	*178bps*
Non-GAAP NP	31,905	30,577	36,695	29,508	25,606	32,354	8%	19%	13%
Non-GAAP EPS	**7.15**	**6.85**	**8.23**	**6.64**	**5.76**	**7.28**	**8%**	**19%**	**13%**
Key assumptions									
Wirebonding capacity (unit)	24,801	24,801	24,801	24,815	24,815	24,815	0%	0%	0%
Tester capacity (unit)	9,331	9,831	10,331	9,323	9,823	10,323	0%	0%	0%
FC & bumping capacity (k wpm, 8" eq.)	7,200	7,538	8,111	6,694	7,538	8,213	8%	0%	-1%
Wirebonding utilization (%)	80%	73%	76%	80%	70%	75%	0bps	300bps	100bps
Testing utilization (%)	88%	85%	85%	87%	82%	85%	100bps	300bps	0bps
FC & bumping utilization (%)	93%	86%	88%	88%	81%	88%	500bps	500bps	0bps
Segment revenue									
IC ATM	169,987	169,539	189,605	155,516	153,518	178,724	9%	10%	6%
Packaging	137,402	135,808	154,169	121,590	119,495	141,918	13%	14%	9%
Testing	29,252	30,407	32,634	30,876	31,013	34,165	-5%	-2%	-4%
Materials	3,333	3,324	2,802	3,049	3,010	2,641	9%	10%	6%
EMS	92,442	69,729	71,598	85,509	63,351	64,901	8%	10%	10%
Segment margin									
IC ATM	32.5%	32.7%	34.1%	31.5%	29.2%	31.1%	100bps	345bps	300bps
EMS	8.7%	8.7%	8.7%	9.1%	9.5%	9.5%	-42bps	-79bps	-81bps

Source: J.P. Morgan estimates.

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Table 4: Annual estimate revisions

NT$ in millions, EPS in NT$, %

	Revised			Prior			Change (%)		
NT$ million	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues	**871,316**	**1,102,706**	**1,315,697**	**838,892**	**1,027,836**	**1,215,394**	**4%**	**7%**	**8%**
Gross profit	191,422	296,921	373,557	180,305	258,876	317,683	6%	15%	18%
GM (%)	*22.0%*	*26.9%*	*28.4%*	*21.5%*	*25.2%*	*26.1%*	*48bps*	*174bps*	*225bps*
Operating profit	111,948	204,092	263,267	103,675	172,830	215,831	8%	18%	22%
OPM (%)	*12.8%*	*18.5%*	*20.0%*	*12.4%*	*16.8%*	*17.8%*	*49bps*	*169bps*	*225bps*
Net profit	93,147	155,540	200,301	87,361	137,744	171,962	7%	13%	16%
EPS (NT$)	**20.90**	**34.87**	**44.90**	**19.64**	**30.97**	**38.67**	**6%**	**13%**	**16%**
Non-GAAP metrics									
Non-GAAP GP	193,707	299,721	376,357	182,737	261,676	320,483	6%	15%	17%
Non-GAAP GM (%)	*22.2%*	*27.2%*	*28.6%*	*21.8%*	*25.5%*	*26.4%*	*45bps*	*172bps*	*224bps*
Non-GAAP OP	115,298	207,904	267,079	107,146	176,643	219,644	8%	18%	22%
Non-GAAP OPM (%)	*13.2%*	*18.9%*	*20.3%*	*12.8%*	*17.2%*	*18.1%*	*46bps*	*167bps*	*223bps*
Non-GAAP NP	96,482	159,353	204,114	90,784	141,556	175,774	6%	13%	16%
Non-GAAP EPS	**21.65**	**35.72**	**45.76**	**20.41**	**31.83**	**39.53**	**6%**	**12%**	**16%**
Key assumptions									
Wirebonding capacity (unit)	24,801	24,801	24,801	24,815	24,815	24,815	0%	0%	0%
Tester capacity (unit)	34,095	42,324	50,324	34,079	42,292	49,992	0%	0%	1%
FC & bumping capacity (k wpm, 8" eq.)	25,594	33,086	40,444	25,088	34,031	41,119	2%	-3%	-2%
Wirebonding utilization (%)	75%	77%	76%	75%	76%	75%	0bps	100bps	75bps
Testing utilization (%)	85%	86%	87%	84%	86%	86%	28bps	70bps	71bps
FC & bumping utilization (%)	86%	88%	89%	85%	87%	87%	140bps	158bps	189bps
Segment revenue									
IC ATM	560,054	793,362	993,824	536,086	745,630	921,047	4%	6%	8%
Packaging	449,709	642,791	793,406	422,892	592,088	724,312	6%	9%	10%
Testing	100,335	138,573	185,414	103,713	142,304	182,873	-3%	-3%	1%
Materials	10,010	11,998	15,005	9,481	11,238	13,862	6%	7%	8%
EMS	313,575	309,344	321,873	304,327	282,206	294,347	3%	10%	9%
Segment margin									
IC ATM	29.8%	34.4%	35.0%	28.9%	31.5%	31.8%	91bps	287bps	327bps
EMS	8.9%	8.7%	8.7%	9.4%	9.5%	9.5%	-52bps	-76bps	-74bps

Source: J.P. Morgan estimates.

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Table 5: ASE earnings model

NT$ in billions, EPS in NT$, %

NT$ billions, year-end Dec	2025				2026E				2027E				2028E							
	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Revenue	148.2	150.8	168.6	177.9	173.7	191.1	244.2	262.4	239.3	261.2	290.3	311.9	300.8	314.9	339.5	360.5	645.4	871.3	1102.7	1315.7
COGS	126.4	124.5	139.2	142.7	138.3	150.4	189.7	199.2	177.8	190.4	209.9	224.9	217.3	224.7	241.4	255.9	532.8	677.6	803.0	939.3
Gross profit	21.8	26.2	29.4	35.2	35.4	40.7	54.5	63.2	61.5	70.8	80.5	87.0	83.5	90.2	98.2	104.6	112.6	193.7	299.7	376.4
Operating income	8.7	11.0	14.0	18.5	18.3	21.9	33.9	41.1	40.4	48.6	56.9	61.9	57.5	63.4	70.6	75.6	52.1	115.3	207.9	267.1
Operating income (GAAP)	9.7	10.2	13.2	17.7	17.5	21.1	33.1	40.2	39.5	47.7	55.9	61.0	56.6	62.4	69.6	74.7	50.8	111.9	204.1	263.3
Pre-tax profit	8.8	10.0	14.8	19.0	19.0	26.5	33.5	40.3	38.8	46.5	54.5	59.4	54.9	60.4	67.2	72.1	52.7	119.2	199.2	254.6
Net profit	6.6	8.3	11.6	15.5	14.9	21.9	27.8	31.9	30.6	36.7	44.1	48.0	43.4	47.8	54.5	58.4	42.0	96.5	159.4	204.1
Net profit (GAAP)	7.6	7.5	10.9	14.7	14.1	21.1	27.0	31.0	29.6	35.7	43.1	47.1	42.5	46.8	53.5	57.5	40.7	93.1	155.5	200.3
EPS	1.49	1.88	2.63	3.49	3.35	4.91	6.23	7.15	6.85	8.23	9.88	10.76	9.73	10.71	12.22	13.10	9.49	21.65	35.72	45.76
EPS (GAAP)	1.71	1.70	2.46	3.32	3.18	4.72	6.05	6.94	6.64	8.01	9.67	10.55	9.52	10.49	12.00	12.89	9.19	20.90	34.87	44.90
Key assumptions																				
Wirebonding capacity (unit)	25,222	25,156	25,120	25,001	24,926	24,815	24,801	24,801	24,801	24,801	24,801	24,801	24,801	24,801	24,801	24,801	25,001	24,801	24,801	24,801
Tester capacity (unit)	6,686	6,797	7,066	7,359	7,585	8,348	8,831	9,331	9,831	10,331	10,831	11,331	11,831	12,331	12,831	13,331	27,908	34,095	42,324	50,324
FC & bumping capacity (k wpm, 8" eq.)	5,108	5,344	5,513	5,681	5,850	6,188	6,356	7,200	7,538	8,111	8,550	8,888	9,394	9,900	10,406	10,744	21,645	25,594	33,086	40,444
Wirebonding utilization (%)	67%	67%	74%	74%	67%	74%	78%	80%	73%	76%	78%	80%	73%	75%	77%	77%	70%	75%	77%	76%
Testing utilization (%)	72%	80%	85%	87%	80%	84%	86%	88%	85%	85%	87%	88%	85%	85%	87%	90%	81%	85%	86%	87%
FC & bumping utilization (%)	70%	75%	84%	85%	81%	84%	86%	93%	86%	88%	89%	90%	88%	88%	89%	89%	79%	86%	88%	89%
Margins (%)																				
Gross margin	14.7	17.4	17.4	19.8	20.4	21.3	22.3	24.1	25.7	27.1	27.7	27.9	27.7	28.6	28.9	29.0	17.4	22.2	27.2	28.6
Operating margin	5.9	7.3	8.3	10.4	10.5	11.5	13.9	15.7	16.9	18.6	19.6	19.9	19.1	20.1	20.8	21.0	8.1	13.2	18.9	20.3
Net margin	4.4	5.5	6.9	8.7	8.6	11.5	11.4	12.2	12.8	14.0	15.2	15.4	14.4	15.2	16.0	16.2	6.5	11.1	14.5	15.5
Sequential Growth (%)																				
Revenue	-9	2	12	6	-2	10	28	7	-9	9	11	7	-4	5	8	6	8	35	27	19
Gross profit	-20	20	12	20	0	15	34	16	-3	15	14	8	-4	8	9	7	12	72	55	26
Operating income	-28	26	27	32	-1	20	55	21	-2	20	17	9	-7	10	11	7	19	121	80	28
Net profit	-36	27	40	33	-4	47	27	15	-4	20	20	9	-10	10	14	7	14	130	65	28
EPS	-36	26	40	33	-4	46	27	15	-4	20	20	9	-10	10	14	7	13	128	65	28
Yoy Growth (%)																				
Revenue	12	7	5	10	17	27	45	48	38	37	19	19	26	21	17	16				
Gross profit	0	9	7	29	62	55	85	79	74	74	48	38	36	27	22	20				
Operating income	0	7	10	52	110	100	143	123	121	122	68	51	42	30	24	22				
Net profit	-4	-8	7	51	127	164	139	106	105	68	59	50	42	30	24	22				
EPS	-5	-8	7	50	125	161	137	105	105	68	59	50	42	30	24	22				

Source: Company reports and J.P. Morgan estimates. Note: Gross profit is non-GAAP.

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Investment Thesis, Valuation and Risks

ASE Technology Holding Co Ltd *(Overweight; Price Target: NT$900.00)*

Investment Thesis
We stay OW on ASE, due to the strong demand for advanced packaging, improving GM trajectory, and expanding capex. ASE's LEAP growth is now more diverse, with strong growth in on-Substrate, Testing, emerging growth in Full-process and incremental revenues from CPO/Optical Engine assembly. On margins, we expect continued ATM GM improvement over the next few quarters (with mid-30% GMs now likely in the next 2 years), supported by rising LEAP mix, improving margins in LEAP and strong like-for-like price increases in mainstream packaging. Moreover, the stronger capex outlook for 2026 and 2027 bodes well for continued growth beyond 2027, in our view.

Valuation
Our Dec-27 PT of NT$900 is based on ~20x 12M forward EPS, a premium to OSAT peers due to a more positive LEAP outlook and faster GM improvement.

Risks to Rating and Price Target
Key downside risks include: (1) a slowdown in AI accelerator demand, and (2) execution issues with ASE's full-process packaging ramp.

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ASE Technology Holding Co Ltd: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**595,410**	**645,388**	**871,316**	**1,102,706**	**1,315,697**
COGS	(498,478)	(531,195)	(679,894)	(805,785)	(942,140)
Gross profit	**96,932**	**114,193**	**191,422**	**296,921**	**373,557**
Adj. EBITDA	**99,696**	**115,708**	**202,143**	**349,414**	**459,196**
D&A	(55,995)	(63,607)	(86,845)	(141,509)	(192,117)
Adj. EBIT	**43,700**	**52,101**	**115,298**	**207,904**	**267,079**
Net Interest	1,455	(5,624)	(7,637)	(11,667)	(15,596)
Adj. PBT	**46,229**	**52,653**	**119,237**	**199,182**	**254,648**
Tax	(7,758)	(9,460)	(20,103)	(36,835)	(47,418)
Minority Interest	(1,443)	(1,182)	(2,637)	(2,994)	(3,116)
Adj. Net Income	**36,918**	**41,988**	**96,482**	**159,353**	**204,114**
Reported EPS	7.39	9.19	20.90	34.87	44.90
Adj. EPS	**8.39**	**9.49**	**21.65**	**35.72**	**45.76**
DPS	**5.21**	**5.30**	**6.62**	**11.28**	**18.83**
Payout ratio	71.8%	71.8%	72.0%	54.0%	54.0%
Shares outstanding	4,398	4,423	4,457	4,461	4,461

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	84,883	100,223	74,533	116,959	128,675
Accounts receivable	113,420	125,042	158,176	187,992	217,264
Inventories	66,821	76,951	92,030	109,377	126,408
Other current assets	10,161	11,579	40,105	47,664	55,086
Current assets	**275,285**	**313,795**	**364,844**	**461,992**	**527,433**
PP&E	312,531	421,115	707,870	991,519	1,225,561
LT investments	57,173	60,306	70,715	72,861	75,071
Other non current assets	95,708	94,118	97,970	97,970	97,970
Total assets	**740,698**	**889,333**	**1,241,400**	**1,624,343**	**1,926,037**
Short term borrowings	53,872	40,734	75,569	75,569	75,569
Payables	78,221	88,754	98,599	105,827	116,207
Other short term liabilities	98,847	114,861	172,312	204,792	236,680
Current liabilities	**230,940**	**244,349**	**346,480**	**386,187**	**428,456**
Long-term debt	139,728	214,081	300,000	535,000	675,000
Other long term liabilities	24,243	57,536	109,152	109,152	109,152
Total liabilities	**394,911**	**515,966**	**755,632**	**1,030,339**	**1,212,608**
Shareholders' equity	323,523	346,900	453,786	559,026	675,336
Minority interests	22,264	26,468	31,983	34,977	38,093
Total liabilities & equity	**740,698**	**889,333**	**1,241,400**	**1,624,343**	**1,926,037**
BVPS	**73.6**	**78.4**	**101.8**	**125.3**	**151.4**
y/y Growth	*8.1%*	*6.6%*	*29.8%*	*23.1%*	*20.8%*
Net debt/(cash)	108,717	154,591	301,036	493,610	621,894
Cash flow from operating activities	**113,358**	**108,824**	**173,187**	**285,030**	**384,077**
o/w Depreciation & amortization	55,995	63,607	86,845	141,509	192,117
o/w Changes in working capital	23,437	3,377	(9,443)	(15,014)	(11,457)
Cash flow from investing activities	**(116,180)**	**(173,733)**	**(387,863)**	**(427,304)**	**(428,369)**
o/w Capital expenditure	(87,171)	0	0	0	0
as % of sales	*14.6%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Cash flow from financing activities	**16,336**	**80,248**	**188,986**	**184,700**	**56,008**
o/w Dividends paid	(22,839)	(23,420)	(29,438)	(50,300)	(83,992)
o/w Net debt issued/(repaid)	22,585	94,507	172,370	235,000	140,000
Net change in cash	**13,514**	**15,340**	**(25,690)**	**42,426**	**11,716**
Adj. Free cash flow to firm	**9,643**	**(63,366)**	**(200,413)**	**(140,129)**	**(42,082)**
y/y Growth	*NA*	*NA*	*216.3%*	*NA*	*NA*

Income Statement - Quarterly	1Q26A	2Q26A	3Q26A	4Q26E
Revenue	**173,662**	**191,064**	**244,161**	**262,429**
COGS	(138,812)	(150,945)	(190,194)	(199,943)
Gross profit	**34,850**	**40,118**	**53,967**	**62,486**
Adj. EBITDA	**35,722**	**40,685**	**56,871**	**67,801**
D&A	(17,686)	(19,030)	(23,208)	(26,921)
Adj. EBIT	**18,298**	**21,932**	**33,934**	**41,133**
Net Interest	(1,580)	(1,866)	(2,611)	(1,580)
Adj. PBT	**18,967**	**26,499**	**33,502**	**40,270**
Tax	(3,635)	(4,167)	(4,831)	(7,470)
Minority Interest	(417)	(442)	(883)	(895)
Adj. Net Income	**14,899**	**21,890**	**27,788**	**31,905**
Reported EPS	3.18	4.72	6.05	6.94
Adj. EPS	**3.35**	**4.91**	**6.23**	**7.15**
Shares outstanding	4,447	4,461	4,461	4,461

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	16.3%	17.7%	22.0%	26.9%	28.4%
EBITDA margin	16.7%	17.9%	23.2%	31.7%	34.9%
EBIT margin	7.3%	8.1%	13.2%	18.9%	20.3%
Net profit margin	6.2%	6.5%	11.1%	14.5%	15.5%
ROE	11.9%	12.5%	24.1%	31.5%	33.1%
ROA	5.2%	5.2%	9.1%	11.1%	11.5%
ROCE	7.4%	7.6%	13.4%	17.0%	16.7%
Net debt/equity	0.3	0.4	0.6	0.8	0.9
P/E (x)	81.4	71.9	31.6	19.1	14.9
P/BV (x)	9.3	8.7	6.7	5.5	4.5
EV/EBITDA (x)	31.6	27.6	16.6	10.1	8.0
Dividend Yield	0.8%	0.8%	1.0%	1.7%	2.8%
Sales/Assets (x)	0.8	0.8	0.8	0.8	0.7
Interest cover (x)	NM	20.6	26.5	29.9	29.4
Operating leverage	(126.5%)	229.0%	346.5%	302.4%	147.4%
Revenue y/y Growth	2.3%	8.4%	35.0%	26.6%	19.3%
EBITDA y/y Growth	0.5%	16.1%	74.7%	72.9%	31.4%
Tax rate	16.8%	18.0%	16.9%	18.5%	18.6%
Adj. Net Income y/y Growth	1.6%	13.7%	129.8%	65.2%	28.1%
EPS y/y Growth	1.0%	13.1%	128.0%	65.0%	28.1%
DPS y/y Growth	(39.9%)	1.8%	24.8%	70.3%	67.0%

Source: Company reports and J.P. Morgan estimates.
Note: NT$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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ASE Technology Holding Co Ltd (3711.TW, 3711 TT) Price Chart



Date	Rating	Price (NT$)	Price Target (NT$)
05-Jan-24	OW	127.00	160
25-Jul-24	OW	172.50	190
31-Oct-24	OW	157.00	185
13-Feb-25	OW	165.50	215
01-May-25	OW	135.50	170
22-Oct-25	OW	195.00	230
30-Oct-25	OW	221.00	280
10-Jan-26	OW	272.00	320
06-Feb-26	OW	284.00	350
18-Mar-26	OW	342.00	400
30-Apr-26	OW	488.50	550
12-Jun-26	OW	544.00	650
31-Jul-26	OW	505.00	700

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 03, 2018. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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Coverage Universe: Hariharan, Gokul : ASE Technology Holding Co Ltd (3711.TW), ASMPT Ltd (0522) (0522.HK), Alchip Technologies (3661.TW), Chipbond Technology (6147.TWO), GDS Holdings (GDS), GUC (3443.TW), Hon Hai Precision (2317.TW), MediaTek Inc. (2454.TW), Nien Made (8464.TW), Novatek Corp. (3034.TW), Powerchip Semiconductor Manufacturing Corp. (6770.TWO), SMIC (0981) (0981.HK), Silicon Motion (SIMO), Sinbon (3023.TW), TSMC (2330.TW), Teco Electric & Machinery (1504.TW), UMC (2303.TW), Vanguard International Semiconductor Corp. (5347.TWO), Voltronic Power Technology (6409.TW), Xiaomi (1810) (1810.HK)

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IB clients**	95%	93%	88%

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